APPLIED LAW | FINANCE RELATED ACTS

Insurance Act, 2079

बीमा ऐन, २०७९

For Application / CAP II Level

With coverage of Learning Objective (LO) as per new syllabus

By CA Govinda Tamang

With latest amendment

Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

LEARNING OUTCOMES (OVERALL): INSURANCE ACT, 2079

Candidates will be able to describe about incorporation of Insurance companies and their capital structure, regulation, inspection, supervision, audit and insurance mediators and provisions of other insurance service providers.

In the assessment, candidates may be required to:

a	State the objectives along with the definition of the related terms of the Act and principles of Insurance and its benefits.	Section 1 – 2
b	Identify the insurance authority, its management and its functions, duties & powers, fund, accounts and audit.	Section 3 – 23
c	Explain the provisions relating to license, renewal and its cancellation.	Section 24 – 35 and 137
d	Elaborate the provisions relating to capital fund and shares allotment, board of directors and chief executive (Section 36 – 60), accounts and audit of an insurance company. (Section 83 – 89)	Section 36 – 60 Section 83 – 89
e	Recognize and review the operation of insurance business, micro insurance and Re-Insurance Business.	Section 61 – 82
f	State the provisions related to insurance mediators and other insurance service providers.	Section 90 – 97

INSURANCE ACT, 2079 (2022)

(Incorporating amendments through end of Shrawan, 2082)



Act No.
27
of the Year 2079

Date of Authentication
2079/06/23

Nature of Act
Amend and Consolidate the law relating to Insurance

Incorporates amendments through end of
Shrawan, 2082

PREAMBLE

Whereas, it is expedient to amend and consolidate the prevailing laws relating to insurance and make them timely, in order to develop the insurance system and insurance business in an organized, regulated, and competitive manner, to make it reliable, to provide the general public with quality and dependable insurance service through healthy competition in the insurance business, and to effectively regulate the insurance business so as to protect the rights and interests of the insured;

Now, therefore, the Federal Parliament has enacted this Act.

AMENDMENT HISTORY

Original Act

Insurance Act, 2079 (2022)
Act No. 27 of the Year 2079
Date of Authentication: 2079/06/23

First Amendment

Act Amending Some Nepal Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080
2080/12/30

Second Amendment

Act Amending Some Nepal Acts, 2082
2082/04/14

OBJECTIVE OF THE ACT

- Develop the insurance system and business in an organized, regulated, and competitive manner
- Provide the general public with quality and dependable insurance service
- Ensure healthy competition in the insurance business
- Effectively regulate the insurance business to protect the rights and interests of the insured

State the objectives along with the definition of the related terms of the Act and principles of Insurance and its benefits. (Section 1 – 2)

LO	Syllabus content	Technical grid reference
LO 8a	❖ Preamble, Short title and commencement ❖ Definitions ❖ Additional Coverage ❖ Repeal and Savings	Section 1 to 2 of the Insurance Act, 2079

SECTION 2 DEFINITIONS
(IMPORTANT DEFINITIONS)



2(c) "Basic shareholder"

- Means a person, company, or organization holding **1% or more** of the paid-up capital shares of an insurer.
- Includes a joint family where members, holding shares separately, together hold **1% or more** of the shares.

2(e) "Joint family"

Means the husband or wife, son, daughter-in-law, daughter, son-in-law, father, mother, stepmother of the concerned person, and other persons whom he/she is obliged to maintain or who are obliged to maintain him/her.

2(g) "Net worth"

Means the amount remaining after deducting from total assets currently held by an insurer:

- All liabilities including any reserve, fund or accumulated profit (other than goodwill); and
- Accumulated losses, if any.

2(h) "Life insurance"

Means a contract under which, in consideration of premium paid (lump sum or in instalments) based on age, a specified sum shall be paid to the insured person or an authorized person, or in case of death, to the nominated person or heir, as mentioned in the policy.

2(k) "Close relative"

Means a member of the joint family, or a **wide range of relatives** including in-laws and their spouses such as: father-in-law, mother-in-law, brothers, sisters, in-laws, paternal/maternal uncles, aunts, grandchlidren, nephews, nieces, and includes the spouses of such relatives.

2(l) "Non-life insurance"

Means insurance other than life insurance and reinsurance.

It is a contract where, in consideration of premium, the insurer agrees to provide a specified sum as compensation or indemnity for a risk relating to property or liability mentioned in the policy.

2(m) "Reinsurance"

Means a contract between an insurer and another insurer or reinsurer whereby a risk exceeding the amount the first insurer intends to retain is borne by the reinsurer or another insurer.

2(ff) "Financial interest"

Means a state of involvement in an insurer of the following persons, organizations, firms, companies or corporate bodies:

1. A director or basic shareholder or chief executive officer, or a member of his/her joint family.
2. A sole proprietorship or joint firm, company or corporate body that has the authority to nominate a director.
3. A director or chief executive officer of the firm, company or corporate body referred to in (2), or a member of his/her joint family.
4. Where a person, firm, company or corporate body referred to in (1) or (2) holds **10% or more** of the paid-up capital shares of any other sole proprietorship or joint firm, company or corporate body, such firm, company or corporate body.

2(mm) "Permanent residency permit"

Means a Diversity Immigrant Visa (DV), Permanent Resident Visa (PR) or Green Card provided to a Nepali citizen enabling him/her to reside permanently in a foreign country, with or without conditions.

Includes any permanent residency permit of whatever name given to a Nepali citizen to reside permanently abroad.

These **definitions** are key for **interpretation** and application of the **Insurance Act, 2079 (2022)** and its provisions.

Note: Sub-section letters as per Section 2 of the Insurance Act, 2079 (2022).

Section 172

Repeal and Savings

Section 172: Repeal and Saving

Note: LO 8a lists 'Repeal and Savings' with Sections 1 – 2, but the provision is at the end of the Act (Section 172). The slide that follows covers Sections 160 – 172.

SECTIONS 165 TO 172 OF THE INSURANCE ACT – KEY PROVISIONS AT A GLANCE

165 SERVICES OF EXPERT TO BE MADE AVAILABLE

Where requested by the Government of Nepal, the Authority shall make available the services of its own experts.

166 POWER TO ISSUE ORDERS AND DIRECTIONS

The Authority may issue orders, directions and guidance to an insurer, insured, insurance intermediary, or other insurance service provider in order to achieve the objectives under this Act.

167 TO BE GOVERNED BY THIS ACT

1. Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by prevailing law.
2. Notwithstanding anything contained in (1), matters relating to prevention of money laundering or financing of terrorist activities shall be governed by that Act.

168 POWER TO FRAME RULES

1. The Government of Nepal may frame necessary Rules to implement this Act.
2. Such Rules may make provision on the following matters:-
   a. Functions, duties and powers of the Chairperson
   b. Whistle-blowing policy
   c. Collective insurance fund (insurance pool)
   d. Micro-insurance

169 POWER TO FRAME AND IMPLEMENT REGULATIONS

The Authority may frame and implement Regulations, subject to this Act and the Rules framed under this Act.

170 POWER TO FRAME AND IMPLEMENT GUIDELINES AND PROCEDURES

The Authority may frame and implement guidelines and procedures necessary to conduct its work, subject to this Act and the Rules framed under this Act.

171 MEASUREMENT OF IMPLEMENTATION OF THE ACT

Within one year of completion of five years from the commencement of this Act,

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5 YEARS and thereafter within one year after every five years,

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the Ministry shall measure the implementation of the Act and submit a report thereon to the concerned committee of both Houses of the Federal Parliament.

172 REPEAL AND SAVING

The following Acts are repealed:-

- Insurance Act, 2049
- National Insurance Corporation Act, 2025

(2) IN RESPECT OF THE INSURANCE BOARD REPEALED BY CLAUSE (a) ABOVE:

a. The Insurance Board shall, after the commencement of this Act, be automatically converted into the Authority.

b. The Rules, Regulations, directions, licences issued, orders given, or acts done or performed by the Insurance Board shall be deemed to have been done or performed by the Authority.

c. The movable and immovable property or liabilities of the Insurance Board shall automatically be converted into the movable and immovable property or liabilities of the Authority.

d. The Chairperson and members of the Insurance Board shall, after the commencement of this Act, automatically become the Chairperson and members of the Authority, and may remain in such office until completion of their term.

e. Employees working in the Insurance Board shall, after the commencement of this Act, automatically be converted into employees of the Authority.

f. Cases pending before the Insurance Board shall automatically be transferred to the Authority, and shall be proceeded with and concluded under this Act.

(3) IN RESPECT OF THE NATIONAL INSURANCE CORPORATION REPEALED BY CLAUSE (b) ABOVE:

a. The National Insurance Corporation so constituted shall, within one year, be converted into a public limited company.

b. Employees working in the National Insurance Corporation shall automatically be converted into employees of the company under clause (a).

c. The movable and immovable property and liabilities existing in the National Insurance Corporation shall automatically be converted into the movable and immovable property and liabilities of the company under clause (a).

d. Policies issued by the National Insurance Corporation shall be deemed to be policies issued by the company under clause (a).

Note: Other matters relating to these provisions (where stated) shall be as prescribed under the Act, Rules, Regulations or Guidelines.

Identify the insurance authority, its management and its functions, duties & powers, fund, accounts and audit. (Section 3 – 23)

LO	Syllabus content	Technical grid reference
LO 8b (1/2)	❖ Establishment of insurance authority ❖ Authority to be an autonomous and body corporate ❖ Functions, duties and powers of the authority ❖ Formation of the board ❖ Appointment of chairperson or members ❖ Qualifications and disqualifications of chairperson and member ❖ Tenure of chairperson and members ❖ Terms and conditions of services of chairperson and member ❖ Oaths before appointment ❖ Vacancy in the office of chairperson or member ❖ Functions, duties and powers of the chairperson ❖ Information to be provided to the authority ❖ Abuse of regulatory authority ❖ Meetings and decisions of board of the authority ❖ Conflict of interest in any proposals ❖ Powers of board to form committee or sub-committee ❖ Accounts experts, advisors and employees	Section 3 to 19 of the Insurance Act, 2079

Sections 3–5 — Summary

Section 3 — Establishment of the Authority



Establishes the **Nepal Insurance Authority** as the regulatory body for insurance business.

- Central office: Kathmandu Valley.
- May establish offices within or outside Nepal as required.



Section 4 — Autonomous & Corporate Body



Authority is an autonomous corporate body with:

- Perpetual succession
- Separate legal personality
- Exercises powers, performs duties, and assumes liabilities as a legal person under prevailing law.

Section 5 — Functions, Duties & Powers

The Authority shall:



1. **Advise Government** on insurance matters and recommend national insurance policy.



2. **Approve establishment of insurance companies** and grant, renew, or revoke licences.



3. **Issue regulations, directives, guidelines** and **orders** for insurance business.



4. **Licence, renew** and **revoke licences** of insurance intermediaries.



5. **Determine capital** and **capital funds** for insurance business.



7. Conduct/promote **research, training, orientation** and **public awareness.**



8. **Decide insureds' complaints** concerning insurance liability and resolve insurance disputes.



9. Work to minimize insurance risks.



10. Develop skilled manpower and insurance education.



11. Expand insurance access to all citizens, including promotion of micro-insurance for low-income groups.



12. Coordinate and exchange information with governmental/non-governmental bodies, provincial governments and foreign/international insurance organizations.



13. Represent Nepal/Authority in international insurance organizations and obtain membership.



14. Operate the Policyholders' Protection Fund.



15. Perform other necessary functions as the insurance regulatory authority.

Sections 6-8 — Summary

Section 6 — Constitution of the Board



An officer-level employee designated by the Authority shall serve as **Secretary of the Board.**

Section 7 — Appointment of Chairperson or Member

Chairperson Selection Committee

- Concerned Member of National Planning Commission — **Coordinator**
- Secretary of the concerned Ministry
- One insurance-sector expert — **Member**

The Committee recommends 3 qualified candidates to the Government of Nepal.

Government appoints one person as Chairperson from the recommended candidates.

- Chairperson's appointment must be made at least 1 month before the position becomes vacant.
- Government appoints the life and non-life insurance expert members from persons meeting Section 8 qualifications.
- Appointment of these members must ensure at least one woman's representation.

Section 8 — Qualification & Disqualification

Qualifications

- At least a Master's degree or equivalent in:
  - Insurance, monetary/banking, finance, commerce, management, public administration, Statistics, mathematics, economics, or law
- At least 5 years of senior managerial experience in a relevant field.
- Must have high moral character.
- Must not be disqualified under Section 8(3).

Exception: These educational/experience qualifications do not apply to the ex-officio members from the Ministry of Finance and Ministry of Law under Section 6(1)(b) & (c).

Disqualified Persons

A person cannot be appointed or continue as Chairperson/Member if they:

- Are not a Nepali citizen.
- Are an employee, director, consultant, or serving employee of an insurer.
- Are a basic shareholder or have a financial interest in an insurer, including through a joint family member.
- Are a basic shareholder of a corporate body having financial interest in an insurer.
- Have been declared insolvent.
- Are unable to serve due to physical or mental illness.
- Have been convicted of serious offences involving moral turpitude, including corruption, banking/insurance offences, fraud, human trafficking, money laundering or organized crime.
- Are blacklisted, unless 3 years have passed since removal.
- Have been penalized by a court or regulatory body under prevailing law.
- Hold permanent residency in a foreign country.
- Have ceased to be Chairperson, Board member, CEO, or senior management official of an insurer less than 2 years ago.

Summary of Key Provisions: Sections 9–13

SECTION 9 — TERM OF OFFICE



Chairperson and members appointed under Section 6(1)(d) & (e) serve for 4 years from the date of appointment.

reappointment

one additional term

SECTION 10 — TERMS OF SERVICE



Chairperson serves as a full-time official of the Authority.



Remuneration, facilities and other terms of service are as prescribed.

SECTION 11 — OATH



Before assuming office, the Chairperson and members appointed under Section 6(1)(d) & (e) must cemero must take an oath of office and secrecy.

Oath is administered by the Finance Minister in the prescribed Schedule format.



SECTION 12 — VACANCY OF OFFICE

Ceasing of Office



Written resignation is submitted to Government of Nepal.



Becomes disqualified under Section 8(3).



Is removed by Government of Nepal for misconduct, incompetence, or failure to perform duties.

REMOVAL THROUGH INQUIRY



Inquiry Committee

- Retired High Court Judge — Chairperson
- 2 persons with Master's & 10+ years insurance/economics — Members



automatic suspension





Inquiry Committee's term: **maximum 3 months**

Vacancies in the Inquiry Committee are filled through the same appointment process for the remaining period.

SECTION 13 — FUNCTIONS DUTIES AND POWERS OF THE CHAIRPERSON



Act as the chief administrative and chief executive officer of the Authority.





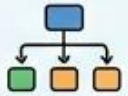
Submit insurance policies, rules, regulations, directives, procedures, periodic plans and annual programmes to the Board for approval.





Implement approved policies, regulations, directives, plans and programmes.





Direct and manage the Authority and organize its work.





Facilitate conciliation between insurers and insureds.





Conduct or arrange regulation, inspection and monitoring of insurance business.





Approve opening of branches, sub-branches and other offices of insurers or order their closure.



Exercise specified regulatory and enforcement powers under Section 134.





Delegate powers to subordinate employees and ensure necessary work is performed.

Represent, or arrange representation of, the Authority in international organizations.



Sections 14–19 — Summary

Section 14 — Information to be Given to the Authority



Chairperson and Members must disclose:

- Current profession, employment, business and office held.
- Whether they or their joint family members hold shares in any insurer, including the number of shares.
- Whether they or their joint family members were, during the previous 3 years, a director, officeholder, auditor or consultant of an insurer.
- Whether they or their joint family members worked as an insurance intermediary during the previous 3 years.
- Details of movable and immovable property held by themselves or their joint family members.

Section 15 — Regulatory Opportunity Not to be Misused



- Chairperson, Board Members, Authority employees and auditors must maintain confidentiality of information obtained in their official capacity.
- Confidential information must not be disclosed or its source revealed, except to the concerned person as permitted by law.
- Confidential information must not be used for personal benefit or the benefit of joint family members.
- No person working for the Authority—including representatives, contractors, firms or companies —may misuse regulatory powers to provide benefits, facilitiss, concessions or advantages to themselves, their joint family or others.
- Violation constitutes misuse of authority under prevailing law, and information must be reported to the concerned body.

Section 16 — Meetings of the Board

- Board must meet as necessary, but at least once every month.
- Chairperson fixes the date, place and time.
- If at least 3 Members request a meeting in writing, it must be called within 7 days.



- Quorum: More than 50% of total Board Members.
- Chairperson presides; in absence, senior-most nnsting vote in case of a tie.
- Quorum: More than 50% of total Board Members.
- Chairperson presides; in absence, senior-most Member presides.
- Decisions are by majority; presiding person has a casting vote in case of a tie.
- Board may invite relevant experts or officehoiders.
- Decisions must be recorded, signed by the presiding person and Members present, and certified and preserved by the Board Secretary.
- Other meeting procedures are determined by the Board.

Section 17 — Conflict of Interest



- A Chairperson/Member must disclose any financial, personal or professional interest of themselves er their joint family in a matter before the Board.
- The concerned Member cannot participate in discussion on that matter.
- A decision made contrary to these requirements shall not apply to that Member.

Section 18 — Committees & Sub-Committees



- Board may establish committees or sub-committees as necessary to assist in performing its functions.
- Board determines their:
  - Functions and duties
  - Powers
  - Working procedures
  - Facilities for members

Section 19 — Employees of the Authority



- Authority may appoint the required number of employees for efficient operation.
- Appointment, remuneration, terms of service, facilities and other employment matters are as prescribed.
- Ministry approval is required before increasing the Authority's:
  - Staff structure
  - Employee remuneration
  - Employee facilities.

Identify the insurance authority, its management and its functions, duties & powers, fund, accounts and audit. (Section 3 – 23)

LO	Syllabus content	Technical grid reference
LO 8b (2/2)	❖ Fund of insurance authority ❖ Accounts of the board ❖ Audit ❖ Audit committee	Section 20 to 23 of the Insurance Act, 2079

Chapter 3 — Fund, Accounts & Audit of the Authority

Section 20 — Fund of the Authority



Authority shall maintain a separate fund.

Fund sources include:

- Government of Nepal grants/amounts
- Fees for establishment, prior approval and licensing of insurance companies
- Fees for licensing/renewal of insurance intermediaries
- Regulatory fees from insurance business
- Amounts from foreign governments and international organizations
- Other permitted sources

Ministry's prior approval is required to receive funds from foreign governments/international organizations.

All funds must be deposited in a licensed bank or financial institution.

Authority's expenses shall be met from this fund.

After providing for the Authority's annual operation, management and insurance development, the remaining amount—except 50% thereof—shall be deposited annually into the Federal Consolidated Fund.

Other fund-related procedures shall be as prescribed.

Section 21 — Accounts of Income & Expenditure



Authority must maintain books of account, accounts and financial statements accurately.

Accounts must comply with prevailing Nepal Accounting Standards (NAS).

Financial records must clearly reflect the Authority's financial position.

Authority must maintain an internal control system as prescribed.

Section 22 — Audit



Authority shall be audited by the Auditor General.

Internal audit shall also be conducted regularly.

Section 23 — Audit Committee



Board shall constitute an Audit Committee accountable to the Board:

- Board-designated Director — **Coordinator**
- Relevant subject expert designated by the Board — **Member**

Head of the Authority's internal audit department serves as **Secretary** of the Audit Committee.

Functions, duties and powers of the Audit Committee shall be as prescribed.

Explain the provisions relating to license, renewal and its cancellation. (Section 24 – 35 and 137)

LO	Syllabus content	Technical grid reference
LO 8c	❖ No transactions without license ❖ Incorporation of insurance company ❖ Prior approval to be obtained to incorporate insurance company ❖ Power to refuse to issue prior approval ❖ Application for license to carry on insurance transactions ❖ Granting of license to carry on insurance transactions ❖ Commencement of insurance business ❖ Prohibit to grant prior approval or license ❖ Obtain prior approval to open branch ❖ Obtain prior approval to open liaison office ❖ Cancellation of license ❖ List to be published ❖ Cancellation of Registration of Insurer	Section 24 to 35 of the Insurance Act, 2079 Section 137 of the Insurance Act, 2079

REGULATION OF INSURANCE BUSINESS: SECTIONS 24, 25 & 26

(AS PER NEPAL INSURANCE ACT)

SECTION 24 — INSURANCE BUSINESS WITHOUT LICENCE PROHIBITED

- No person may directly or indirectly conduct insurance business **without a licence** under the Act.
- This prohibition applies even if terms such as 'insurance,' 'reinsurance,' 'insurance fund,' etc. are not used.
- **Unlicensed persons/entities cannot use such insurance-related terms** in their company, firm or organization names for insurance business or other purposes.
- **Insurance transactions/business may be conducted only with an insurer licensed under this Act.**

SECTION 25 — ESTABLISHMENT OF AN INSURANCE COMPANY

- A person wishing to conduct insurance business must **establish an insurance** company as a **public limited company** under prevailing law.
- **Existing insurers** already established and licensed before commencement of the Act need not re-establish.
- A person, joint family or **related** company/corporate body that is a basic shareholder **cannot hold more than 15% of the paid-up** capital of an insurance company.

  EXCEPTION: Government of Nepal, Provincial Government and foreign investors.
- **Existing shareholdings exceeding 15% must be brought within the limit within 2 years of commencement of the Act.**
- **A person/joint family/firm/company/ organization investing in one insurance company cannot acquire 1% or more of another insurer conducting the same class of insurance business.**

SECTION 26 — PRIOR APPROVAL FOR ESTABLISHMENT

BEFORE ESTABLISHING, THE APPLICANT MUST OBTAIN PRIOR APPROVAL FROM THE AUTHORITY AND SUBMIT PRESCRIBED FEE AND REQUIRED DOCUMENTS:

- MOA & AOA
- Feasibility study and infrastructure details
- Founders' personal details
- Founders' agreements
- Tax clearance/proof of tax payment up to the previous fiscal year
- **For organizational applicants:** Board decision, constitutional documents, investment-capacity proof and regulatory approval where applicable
- Other documents required by the Authority.

FOREIGN INSURANCE COMPANIES MAY, WITH AUTHORITY APPROVAL APPROVAL:

- Establish a joint-venture insurance company with a Nepali corporate body or citizen; or
- Open a branch office in Nepal.

FOREIGN APPLICANTS MUST ADDITIONALLY PROVIDE:

- Home-country insurance licence and renewal proof
- Home regulator's approval for Nepal branch
- Board decision for JV/branch
- Last 5 fiscal years' audit reports
- Directors' details, shareholding and financial interests
- Other documents required by the Authority.

AUTHORITY SHALL EXAMINE THE APPLICATION AND, WHERE APPROPRIATE, GRANT PRIOR APPROVAL WITHIN 60 DAYS OF RECEIVING THE APPLICATION.

AN INSURER MUST OBTAIN PRIOR APPROVAL OF THE AUTHORITY BEFORE AMENDING ITS MEMORANDUM OR ARTICLES OF ASSOCIATION.

'SECTION 27 — POWER TO REFUSE PRIOR APPROVAL'

The Authority may refuse prior approval for establishing an insurance company or opening a foreign insurer's branch where:



PROPOSED COMPANY NAME
is similar to an existing insurer's name.



NAME OR PROPOSED BUSINESS
is against public interest, good conduct, decency, religion, caste or public order.



MARKET CONDITIONS
indicate that another insurer would not allow healthy and competitive insurance business.



PROPOSED OBJECTIVES
are contrary to prevailing law.



EACH FOUNDER
does not commit to at least 10,000 shares, or fails to disclose the number of shares to be taken.



PROPOSED COMPANY
does not plan to maintain the required paid-up capital under Section 36.

A FOUNDER HAS BEEN CONVICTED OF SPECIFIED SERIOUS OFFENCES...



- ☑ insurance/banking offences
- ☑ fraud
- ☑ forgery
- ☑ money laundering
- ☑ corruption

human trafficking or other offences involving moral turpitude —and and 5 years have not passed since completion of the sentence.







REQUIRED DOCUMENTS/DETAILS UNDER SECTION 26
are not submitted.



PROPOSED COMPANY INTENDS TO CONDUCT BUSINESS
other than insurance business.

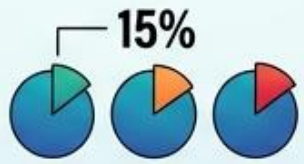


PRIOR APPROVAL
has been suspended under Section 31.





FOUNDER OR JOINT FAMILY MEMBER HAS BEEN BLACKLISTED
and 3 years have not passed since removal from the blacklist.



A SINGLE PERSON, JOINT FAMILY, ORGANIZATION OR GROUP
would own more than 15% of paid-up capital immediately committed by founders.

EXCEPTION: Government of Nepal, Provincial Government and foreign investors.



APPLICANT/FOUNDER HAS A BASIC SHAREHOLDING
in another insurer conducting the same type of insurance business.



ADDITIONAL RESTRICTION:
Authority shall not approve establishment of a company intending to conduct more than one type of insurance business, except reinsurance business.





NOTICE OF REFUSAL:
Where prior approval is refused, the Authority must provide the applicant with a written notice stating the reasons within 60 days of receiving the application.



SECTION 28 — APPLICATION FOR INSURANCE BUSINESS LICENCE

A company that has been incorporated and obtained prior approval under Section 26 must apply to the **Authority** for an **insurance business licence** with the required documents.

KEY DOCUMENTS & DETAILS

1. Authority's prior approval and company certificate of incorporation.
2. MOA & AOA of the insurance company.
3. For founder companies/corporate bodies:
   - Audit reports and financial statements showing tax compliance for the previous 3 fiscal years.
   - Details of their basic shareholders and joint family members.
4. Proposed type and class (portfolio) of insurance business.
5. Details of required infrastructure and, where applicable, rental agreement.
6. Personal details of the CEO and management-level officials.
7. Arrangements for insurance risk management.
8. Policies/details relating to:
   - Claims
   - Investment
   - Underwriting
   - Reinsurance
   - Information technology
9. Draft insurance policy; for reinsurers, draft reinsurance contract.
10. Proof that founders have paid up their committed shares.
11. Company's organizational structure.
12. Employee remuneration, terms of service and facilities bylaws.
13. Financial administration and procurement bylaws.
14. Other documents/details required by the Authority.

FOREIGN INSURANCE COMPANY BRANCH

In addition to the above, a foreign insurer's branch must submit:

1. Home-country regulatory licence/approval to conduct insurance business in Nepal.
2. Proof of registration of the branch office in Nepal.
3. Details of any changes from information submitted during the Section 26 prior-approval process.
4. Other documents required by the Authority.

Governance & Business compliance

Sections 29–30 — Licence & Commencement of Insurance Business

SECTION 29 — GRANT OF LICENCE



Authority examines the **Section 28** application and supporting documents.



If the applicant is competent to conduct insurance business, the Authority shall:



Collect the prescribed fee;

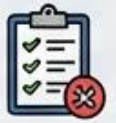


Grant the licence within **60 days** of receiving the application.



Refusal of Licence

Authority shall notify the applicant with reasons **within 60 days** if:



Required Section 28 documents/details are missing;



Necessary infrastructure has not been arranged;

or



Granting the licence would not adequately protect the interests of insured persons.



Licence must specify the permitted **type and class** (portfolio) of insurance business under Section 61.



Licence becomes **effective** from the date of issue, unless another effective date is specified.



Authority may impose conditions considering:

- Prevailing law
- Insurer's financial and organizational structure
- Interests of insured persons



Authority may also specify or amend conditions through directives.



Insurer is legally required to comply with all conditions imposed by



Insurance licence is non-transferable.

SECTION 30 — COMMENCEMENT OF INSURANCE BUSINESS



Insurer must commence the licensed insurance business within **6 months** of obtaining the licence.



If unable to start within 6 months, it must apply for an **extension** before expiry, stating proper reasons.



Authority may grant an extension of up to **6 additional months** if the reasons are justified.



Insurer must commence business within the extended period and notify the Authority.



Failure to commence within the extended period may result in **cancellation** of the licence.

Sections 31–35 — Summary

1 SECTION 31 — SUSPENSION OF PRIOR APPROVAL OR LICENCE



Authority may temporarily suspend:

- Grant of prior approval under Section 26 for establishing an insurance company or foreign insurer's branch; or
- Grant of licence under Section 29.

Suspension may be imposed for a specified period based on the Authority's study, research and assessment of the insurance market.



2 SECTION 32 — BRANCH OFFICES



An insurer may open branch offices within Nepal or abroad.

Prior approval of the Authority is required.

Branch opening shall comply with prescribed requirements.

3 SECTION 33 — LIAISON OFFICE OF FOREIGN INSURER



A foreign insurance company may open a liaison office in Nepal with:

- Prior approval of the Authority; and
- Compliance with prevailing law.



A liaison office cannot conduct insurance business or transactions.

Other requirements are as prescribed.

4 SECTION 34 — CANCELLATION OF LICENCE FOR INSURANCE CLASS/PORTFOLIO



An insurer may apply to cancel its licence for one or more classes (portfolios) of insurance business.

It cannot cancel all classes/portfolios it is conducting.

Authority may approve cancellation if the application is found reasonable.

Other cancellation procedures are as prescribed.



5 SECTION 35 — PUBLICATION OF LICENSED INSURERS



Authority must publish an updated list of licensed insurers at least every 3 months.

Publication must be through:

- At least 2 national-level daily newspapers, and
- Authority's website.

Published information includes:

- Date of commencement of transactions
- Paid-up capital
- Premium
- Claims
- Other details determined by the Authority.



Section 137

Cancellation of Licence

Section 137: Revocation (Cancellation) of License of the Insurer

Note: LO 8c covers Sections 24 – 35 and Section 137 (cancellation of licence and registration of the insurer), which sits in Chapter 19. The slide that follows covers Sections 135 – 137.

Summary: Sections 135–137 — Suspension & Cancellation Powers

135. Suspension/Cancellation of Insurance Payment

- The Authority may direct that:
  - a policy not be issued;
  - payment under a policy be withheld; or
  - a policy be cancelled.
- Applicable where necessary to:
  - protect insurance business or insured interests;
  - assist investigation of an offence; or
  - combat money laundering, terrorist financing, fraud, corruption, human trafficking or organized crime.

136. Suspension of Licence or Insurance Business

- Authority may suspend an insurer's licence or fully/partially suspend its business where the insurer:
  - fails to maintain minimum paid-up capital under Section 36;
  - fails to implement decisions relating to claims, loss or damage under Sections 128/129;
  - continuing business would seriously harm insured persons;
  - stops insurance business without Authority approval;
  - violates other prohibitions under the Act, Rules, Regulations or prevailing law; or
  - repeatedly violates Authority directions/orders.
- Before suspension, the insurer must be given a reasonable opportunity to submit clarification.
- Suspension may be lifted if the clarification is satisfactory.
- Suspension of insurance business must be publicly announced through at least 2 national daily newspapers and the Authority's website.

137. Cancellation of Insurer's Licence

- Authority may cancel the licence where:
  - suspension/restriction under Section 136 remains for 1 year;
  - (a) continued business would seriously harm insured persons;
  - (c) a court commences insolvency proceedings; or
  - (d) an approved dissolution process is completed.
- Except for insolvency and completed dissolution, the insurer must receive:
  - reasonable time to rectify the situation; and
  - an opportunity to submit clarification.
- Where the insurer commits to improve a deficiency under grounds (a) or (b), the Authority may grant one additional reasonable opportunity to rectify it.
- Liabilities incurred before licence cancellation shall be settled as prescribed.
- Cancellation must be publicly announced through at least 2 national daily newspapers and the Authority's website.

Elaborate the provisions relating to capital fund and shares allotment, board of directors and chief executive (Section 36 – 60), accounts and audit of an insurance company. (Section 83 – 89)

LO	Syllabus content	Technical grid reference
LO 8d (1/3)	❖ Paid up capital to be maintained ❖ Order to decrease capital ❖ Insurance fund ❖ Compulsory reserve fund ❖ Catastrophic fund ❖ Claim payable fund and reserve fund ❖ Assets shall be more than liabilities ❖ Restrictions on distribution of dividend ❖ Allotment of shares ❖ Prospectus and issue of shares ❖ Provision on sale or pledging of securities	Section 36 to 46 of the Insurance Act, 2079

SECTIONS 36–38 — CAPITAL & INSURANCE FUND

SECTION 36 — PAID-UP CAPITAL OF INSURER

Minimum paid-up capital of an insurer shall be determined by the Nepal Insurance Authority from time to time.

Authority may order insurers to increase paid-up capital within a specified period, considering:
- Financial or capital market conditions
- Insurer's liabilities
- Financial position of insurers

Insurers must meet the increased capital requirement within the prescribed timeframe.

Failure to maintain required paid-up capital may result in licence cancellation.

Other capital-related matters shall be as prescribed.

SECTION 37 — POWER TO ORDER REDUCTION OF CAPITAL

Authority may order an insurer to reduce its paid-up capital where:
- Licence for any previously conducted insurance class/portfolio is cancelled; or
- Insurer is classified as a troubled insurer under Section 101.

MIN

Minimum capital protection:
Capital cannot be reduced below the minimum paid-up capital prescribed under Section 36(1).

SECTION 38 — INSURANCE FUND

Every insurer must maintain an **insurance fund** in the amount and ratio determined by the Authority.

A **separate fund** must be **maintained** for each insurance class/portfolio, as prescribed.

NOT TRANSFERABLE

Funds relating to one insurance class/portfolio **cannot be transferred** or used for another class/portfolio.

Liabilities of one class/portfolio **cannot be paid** from the fund maintained for another class/portfolio.

SECTIONS 39–42 — RESERVES, CLAIMS & SOLVENCY

SECTION 39



COMPULSORY RESERVE FUND

Every insurer must maintain a separate compulsory reserve fund to meet insurance liabiiities. Required contributions include:

- LIFE INSURERS: At least the total liability determined by an actuary based on policies issued throughout Nepal.
- NON-LIFE INSURERS: Amount based on the proportion of net premium determined by the Authority.
- NON-LIFE INSURERS: 50% of profit must be deposited until the prescribed reserve reaches the insurer's paid-up capital.
- Insurer may establish additional reserve funds as necessary.
- Reserve requirements for reinsurers and other related matters are determined by the Authority.

Life Insurance

SECTION 40



CATASTROPHE FUND

- Every insurer must maintain a separate catastrophe fund.
- Fund is intended to cover future losses arising from catastrophes.
- Other requirements are determined by the Authority.

Natural disasters + Emergency Planning

SECTION 41



CLAIM PAYMENT FUND & RESERVE FUND

Insurer must establish a claim payment fund and reserve fund and provide for:

- Outstanding claims not settled within the prescribed period.
- Claims that have occurred but:
  - Have net yet been reported (IBNR); or
  - Have not been adequately reported (IBNER).
- Unexpired risk reserve.
- Amounts and other requirements are determined by the Authority.

SECTION 42



ASSETS MUST EXCEED LIABILITIES

- An insurer's total assets must exceed total liabilities.
- Authority determines the required solvency margin (ratio of total assets to total liabilities).
- Existing insurers and foreign insurer branches operating when the Act commenced must meet the prescribed solvency margin within the period specified by the Authority.
- Valuation of the insurer's assets and liabilities shall be as prescribed.

'SECTIONS 43–46 — DIVIDENDS & SHARES'

SECTION 43 — RESTRICTION ON DIVIDEND DISTRIBUTION

An insurer cannot declare or distribute dividends until it:

1. Makes adequate risk-bearing/reserve fund arrangements to cover all preliminary expenses and losses up to the previous fiscal year.
2. Meets the minimum paid-up capital under Section 36.
3. Maintains the required solvency margin under Section 42.
4. Fully distributes and receives payment for shares offered to the general public.
5. Obtains prior approval of the Authority before declaring dividends, as prescribed.

5. Public not approval of the dividenor before divenmats, ananumed.



SECTION 44 — ALLOTMENT OF SHARES

- At least 30% of total issued capital must be allotted for sale to the general public.

30% with public crowd

- Foreign insurer branch offices cannot issue or sell shares.
- Up to 5% of public-offer shares may be reserved for employees.
- With Authority approval, remaining shares may be converted into general public shares, provided founder shareholders retain at least 51% ownership.

51%

- Shares of insurers owned by the Government of Nepal or Provincial Government are governed as determined by Government of Nepal.
- Other share allotment/sale matters follow prevailing federal securities law.



SECTION 45 — PROSPECTUS & PUBLIC ISSUE

- Before a public securities issue, insurer must submit to the Authority a prospectus approved by SEBON.

SEBON

- Prospectus cannot be published until submitted as required.
- Authority cannot register the prospectus until receiving written confirmation of SEBON approval.
- Public shares may be issued only after:
  - 1 year has passed since commencement of insurance business; and
  - Previous year's audit has been completed.
- Applications for public shares must require payment of 100% of face value.



SECTION 46 — RESTRICTION ON SALE, PLEDGE & TRANSFER OF SHARES

'Founder Shares'

- Founder cannot sell, pledge or transfer founder shares for 5 years from establishment.
- Excess shares held above the statutory limit before commencement of the Act must be sold/distributed within 2 years.
- In a special situation, or where a founder is blacklisted, founder-to-founder transfer/sale may be permitted with Authority approval.
- After 5 years, conditions for pledge/sale/distribution are determined by the Authority.

'Special Situation'

- Board fails to meet for 3 consecutive times due to lack of quorum, or
- Board cannot make decisions due to mutual disputes among directors.

'Insurer's Key Personnel'

CEO, anditor, employee, company secretary and persons directly involved in management/sccounting cannot trade, pledge, transfer or otherwise deal in shares of the insurer or its subsidiary:

job tenure

- During their tenure; and
- For 1 year after leaving office.
- For 1 year after leaving office.

This restriction also applies through their jeint family members or financially interested/controlled oniities.

Exceptions'

The restriction does not prevent transactions involving:

- Bonus shares
- Rights shares
- Employee shares
- New share issues
- Acquisition/merger/amalgamation of insurers
- Transfer of insurance business
- Transactions required to implement an Authority directive

LEGAL

Other share transactions shall comply with prevailing law.

Elaborate the provisions relating to capital fund and shares allotment, board of directors and chief executive (Section 36 – 60), accounts and audit of an insurance company. (Section 83 – 89)

LO	Syllabus content	Technical grid reference
LO 8d (2/3)	❖ Formation of board of directors ❖ Tenure of office of directors ❖ Qualifications of directors ❖ Disqualifications of directors ❖ Discontinue to hold the office of director ❖ Meetings of board of directors ❖ Functions, duties and powers of board ❖ Power to frame byelaws and procedures ❖ Delegation of authority ❖ Management of insurance company ❖ Appointment and conditions of service of chief executive ❖ Functions, duties and power of chief executive ❖ Technical or management service agreements/contracts ❖ Prepare whistle blowing policies	Section 47 to 60 of the Insurance Act, 2079

SECTIONS 47–48 — BOARD OF DIRECTORS OF INSURER

SECTION 47 — CONSTITUTION OF BOARD OF DIRECTORS

BOARD COMPOSITION

5 to 7 DIRECTORS + **at least 1 INDEPENDENT DIRECTOR**



APPOINTMENT

Directors are generally appointed by the General Meeting.

Directors are generally appointed by the General Meeting.

BEFORE FIRST AGM

FOUNDERS

Before the first AGM: Founders appoint the directors.

VACANCY

If a director's position becomes vacant before the AGM, the Board may appoint a replacement

INDEPENDENT DIRECTOR

QUALIFICATIONS & SECTION 49

Board must appoint at least 1 independent director meeting Section 49 qualifications and report the appointment to the first subsequent General Meeting.

BOARD CHAIRPERSON

Board elects its Chairperson by majority from among directors.

Independent director cannot be Chairperson.

OATH

Directors and the Board Chairperson must take the prescribed oath of office and secrecy before assuming office.

INSTITUTIONAL SHAREHOLDERS

SHAREHOLDER

Where Government, an insurer, organized institution, company or foreign insurer holds shares, the shareholder may appoint directors in proportion to its shareholding, along with an alternate director.

JOINT FAMILY RESTRICTION

Only one member of a joint family may serve as director of:

- The same insurer; or
- Insurers conducting the same type of insurance business.

Board must appoint at least 1 independent director meeting Section 49 qualifications and report the appointment to the first subsequent General Meeting.

VACANCY REPLACEMENT

35 DAYS

If a director's position becomes vacant, the Board must appoint a replacement within 35 days, to serve until the next General Meeting.

SECTION 48 — TERM OF DIRECTOR

YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4

DIRECTOR'S TERM

maximum **4 years**

REAPPOINTMENT

REAPPOINTED OR RENOMINATED

Director may be reappointed or renominated.

INDEPENDENT DIRECTOR TERM

1 TERM ONLY

Independent director: May serve only one term.

INSURER DIRECTORS: QUALIFICATION & DISQUALIFICATION (SECTIONS 49–50)

SECTION 49 — QUALIFICATION OF DIRECTOR

A person is eligible to become a director if they meet any one of the following:

5+ YEARS' EXPERIENCE



As a director/officeholder of an insurer, bank, financial institution, related organized institution, government service, or at officer level of an organized institution;

BACHELOR'S DEGREE + 3+ YEARS' EXPERIENCE



Bachelor's degree + at least 3 years' relevant experience as specified above;

PROFESSIONAL / MASTER'S DEGREE



Chartered Accountant, or holder of a Master's degree/equivalent in insurance, banking, finance, commerce, management, public administration, statistics, mathematics, economics or commercial law.

INDEPENDENT DIRECTOR



Must have:

- Master's degree/equivalent in a specified relevant field; and
- At least 5 years' experience as a director or at management level in a domestic/foreign insurer or related organized institution.

The following cannot be independent directors:

- ⊗ Existing director or joint family member of a director
- ⊗ Auditor or consultant of the insurer
- ⊗ Basic shareholder
- ⊗ Person having a financial interest in the insurer.

SECTION 50 — DISQUALIFICATION OF DIRECTOR

A person is disqualified from becoming a director if they:



Below 25 years of age



Unable to serve due to physical or mental illness



Have been declared insolvent



Have been removed from a blacklist for less than 3 years





Are a serving director/employee of an insurer, bank, financial institution or deposit-taking organized institution, or hold basic shares in another insurer's founder group



Are the insurer's serving auditor or consultant, or have a contractual/lease relationship or personal interest with the insurer



Are a securities dealer or merchant banker





Are already a director of another insurer





Are disqualified under the insurer's bylaws due to share-holding requirements





Are disqualified under the insurer's bylaws due to shareholding requirements





Have not acquired the minimum shares required to become a director





Hold public office or are serving employees of Government or specified government-owned institutions



Exception:
Government/Provincial Government or government-owned institutions/insurers may nominate representatives to an insurer of a different type in which they hold shares.



Have outstanding tax liabilities





Have been convicted of offences involving moral turpitude, including theft, fraud, forgery, corruption, insurance/banking offences or money laundering, and 5 years have not passed since completion of sentence





Have been penalized by a regulatory body for violating law and 5 years have not passed since the action





Have not completed imprisonment or paid a court-imposed fine, or have outstanding government dues





Have been penalized by the Authority for violating its directives and 3 years have not passed since the action



SECTION 51 — WHEN A DIRECTOR CEASES TO HOLD OFFICE

BECOMES DISQUALIFIED UNDER SECTION 50

RESIGNATION IS ACCEPTED

AT LEAST 51% OF THE SHAREHOLDERS of the represented group **PASS A RESOLUTION AT THE GENERAL MEETING** to remove the director



▶ GROUP: FOUNDER SHAREHOLDERS AND GENERAL PUBLIC SHAREHOLDERS

AUTHORITY DIRECTS REMOVAL because the director is disqualified or has acted against the interests of the insurer or insured

NOTICE & REMOVAL

INSURER MUST NOTIFY THE AUTHORITY WITHIN 15 DAYS if a director becomes disqualified or otherwise ceases to hold office

WHERE DISQUALIFICATION IS REPORTED, THE AUTHORITY MAY CONDUCT AN INQUIRY AND DIRECT THE INSURER TO REMOVE THE DIRECTOR

SECTION 52 — MEETINGS OF THE BOARD OF DIRECTORS

BOARD MUST MEET AT LEAST 6 TIMES A YEAR

INTERVAL BETWEEN MEETINGS MUST NOT EXCEED 2 MONTHS

AT LEAST ¼ (25%) OF DIRECTORS MAY REQUEST A MEETING IN WRITING

CHAIRPERSON FIXES THE DATE, PLACE AND TIME AND PRESIDES

IN THE CHAIRPERSON'S ABSENCE, THE SENIOR-MOST DIRECTOR PRESIDES

QUORUM: AT LEAST 51% OF TOTAL DIRECTORS

DECISIONS ARE BY MAJORITY; PRESIDING MEMBER HAS A CASTING VOTE IN CASE OF A TIE

ATTENDANCE, DISCUSSIONS AND DECISIONS MUST BE RECORDED IN A SEPARATE MINUTES BOOK and signed by directors present

A DIRECTOR MAY RECORD A DISSENTING OPINION

A DIRECTOR HAVING AN INTEREST IN A MATTER MUST DISCLOSE THE INTEREST AND NOT PARTICIPATE in the relevant meeting

BOARD MAY SEEK EXPERT ADVICE on matters under discussion

DIRECTORS RECEIVE MEETING ALLOWANCE and other facilities as determined by the General Meeting, subject to Authority directives

SECTIONS 53–56 — BOARD POWERS, DELEGATION & MANAGEMENT

SECTION 53 — FUNCTIONS, DUTIES & POWERS OF THE BOARD



- Board exercises all functions and powers of the insurer, except matters reserved for the General Meeting, subject to the Act, prevailing law and MOA/AOA.



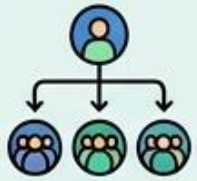
Directors must operate the insurer in the interests of insured persons and public shareholders by:

- Managing and mitigating overall risks
- Maintaining good corporate governance
- Ensuring uninterrupted day-to-day operations

Key Board Functions

- Prepare and implement necessary rules, regulations, work plans and directives in accordance with the Act, applicable laws and Authority directives.
- **Develop measures and guidelines** for:
  - Risk management
  - Claim settlement
  - Asset & liability management
  - Internal controls
  - Budget and other necessary matters
- Formulate policies for insurer's activities and supervise daily operations.
- Maintain required capital, capital funds and assets as prescribed by the Authority.
- Regularly monitor and analyze policies and issue necessary directions to management.
- Present the audited financial statements/ report to the General Meeting.
- Perform other functions directed by the Nepal Insurance Authority.

SECTION 54 — COMMITTEES & SUB-COMMITTEES



Board may establish committees or sub-committees for specific purposes, unless the Act assigns a function specifically to another body/officeholder.

- Formation must comply with Authority directives.
- Board determines their functions, duties, powers and meeting procedures.

SECTION 55 — DELEGATION OF AUTHORITY

- Board may delegate powers under the Act, Rules and MOA/AOA to:
  - A director
  - Committee/sub-committee under Section 54
  - Chief Executive Officer (CEO)
  - Person acting as CEO

Restriction: Managerial authority cannot be delegated to a director.

SECTION 56 — MANAGEMENT OF INSURER

- Insurer shall appoint the necessary **employees** to conduct insurance business.
- A person having a financial interest in the insurer cannot be appointed as an employee.
- **Management expenses** must be controlled so they do not adversely affect insured persons.
- **Authority** determines the **limit** on **management expenses** and other related requirements.

SECTION 57 — APPOINTMENT OF CHIEF EXECUTIVE OFFICER (CEO)

1. APPOINTMENT & TENURE



- Board **appoints one CEO** to operate and manage the insurer.
- Term: Maximum 4 years.
- May be reappointed for 1 further term.
- Board may **remove** the CEO for unsatisfactory performance, but must provide a reasonable opportunity to submit clarification.

2. CEO QUALIFICATIONS & EXPERIENCE

Route 1

- **Master's degree/equivalent** in insurance, banking, finance, commerce, management, public administration, statistics, mathematics or economics; and
- 7 years management experience, including:
  - **5 years** in insurance, OR
  - **8 years** in banking/financial sector, OR
  - **Experience in both sectors** with at least 1 year in insurance.

Route 2

- **Chartered Accountancy** OR **Bachelor's degree/equivalent** in specified fields including insurance, banking, finance, management, economics, engineering or law; and
- 12 years management experience, including:
  - **10 years** in insurance, OR
  - **15 years** in banking/financial sector, OR
  - **Experience** in both sectors with at least 1 year in insurance.

Reporting: Insurer must notify the Authority of the CEO's appointment within 7 days.

3. PERSONS DISQUALIFIED FROM BECOMING CEO





- Is incapable of serving as a director due to physical/mental illness.
- Is blacklisted, or less than 3 years have passed since removal from blacklist.
- Is a director, close relative of a director, employee, intermediary or consultant of the insurer.
- Was an auditor of the same insurer within the preceding 3 years.
- Is a securities dealer or securities-market member.
- Has a financial interest in the insurer.
- Has previously served as Chairperson/Board Chairperson, subject to the Government exception.
- Was previously a CEO and 6 months have not elapsed since leaving that position.
- Has not completed 3 years since serving an imprisonment sentence.
- Holds permanent residency abroad (exception for CEO of a foreign insurer or foreign joint-venture insurer).
- Has been convicted of offences such as fraud, forgery, corruption, money laundering, banking/insurance offences, human trafficking, hostage-taking or abduction.
- Holds public office.

4. SPECIAL PROVISIONS

- A foreign insurer holding a majority shareholding may appoint its own employee as CEO, subject to Section 57.
- A **foreign insurer's Nepal branch** must appoint a CEO meeting the prescribed qualifications and experience.
- CEO's remuneration, terms of service and facilities are determined by the Board, subject to Authority directives.

Sections 58–60 — CEO, Service Agreements & Whistle-Blowing

Section 58 — Functions, Duties & Powers of CEO



Core Duty

- Manages the insurer's day-to-day business and administration.
- Must act according to:
  - Board-approved policies
  - Authority directives
  - Prevailing law

Key Powers & Responsibilities

- Exercise powers delegated by the Board and implement Board decisions.
- Oversee and control the insurer's operations and transactions.
- Prepare the annual budget and work plan and submit them to the Board for approval.
- Manage required human resources according to employee bye-laws.
- Implement decisions of the General Meeting and Board.
- Ensure compliance with the Act and Authority directives, including effective:
  - Internal control
  - Risk management
- Timely submit required reports, information, documents and decisions to the Authority and other relevant bodies.

Accountability

CEO is accountable to the Board of Directors for his/her work.

Board

Section 59 — Management or Technical Service Agreement



Insurer may enter into a **management or technical service agreement** with:

- A domestic person, or
- A foreign organized institution.

Prior approval of the Authority is mandatory.

Draft agreement must be submitted to the Authority before execution.

Other requirements relating to such agreements and expert services are as prescribed.

Draft → Authority Approval → Execution

Section 60 — Whistle-Blowing Policy

Insurer may formulate and implement a **whistle-blowing policy.**

- Enables **confidential reporting** of actual or **potential irregularities** by:
  - Management
  - Officeholders
  - Employees
  - CEO
  - CEO
  - Auditor/consultant
  - Insurance intermediary
- **Reports may concern violations of the Act, Rules, Regulations or Authority directives.**
- **Board's duty:**
  Protect the professional security of whistle-blowers who confidentially report irregular acts.



Elaborate the provisions relating to capital fund and shares allotment, board of directors and chief executive (Section 36 – 60), accounts and audit of an insurance company. (Section 83 – 89)

LO	Syllabus content	Technical grid reference
LO 8d (3/3)	❖ Accounts to be maintained accurately ❖ Prepare financial statements ❖ Audit committee of insurer ❖ Appointment of auditor of insurer ❖ Audit of insurer ❖ Order the auditor for additional functions ❖ Recommendation for taking actions against auditor	Section 83 to 89 of the Insurance Act, 2079

CHAPTER 10 — ACCOUNTS AND AUDIT OF INSURER

SECTION 83 — ACCOUNTS TO BE PROPERLY MAINTAINED

- Insurer must properly maintain books of account, ledgers, records and accounting records.
- Records must accurately reflect:
  - Assets
  - Liabilities
  - Income
  - Expenditure
  - True financial position of transactions.
- Accounts must follow prevailing law, accepted accounting principles and double-entry accounting system.
- Accounts and records must be maintained at the head office, unless Authority permits otherwise.
- Other matters shall be as prescribed.



SECTION 84 — FINANCIAL STATEMENTS TO BE PREPARED

Quarterly financial statement:
Submit to Authority within 30 days of each quarter-end.

Quarterly statement must include:

- Income & expenditure
- Net worth and changes
- Insurance
- Reinsurance
- Claims
- Investment

Annual audited financial statements:
Prepare audited balance sheet and profit & loss statement for each fiscal year and submit within 6 months of the following fiscal year.

Insurer must publicly disclose its financial position and risk status every 3 months.

Other matters shall be as prescribed.



SECTION 85 — AUDIT COMMITTEE OF INSURER



Constitution & Structure:

- Licensed insurer must constitute a 3-member Audit Committee:
  - Within 30 days of commencing insurance business.
  - Existing insurer without an Audit Committee: within 30 days of commencement of the Act.
- Committee is coordinated by a director representing general public shareholders.
- Authority must be informed after constitution.
- Chairperson, CEO, chief of accounts and close relative cannot be members.

Key Functions:

- Review financial statements for accuracy and reliability.
- Monitor accounts, budget and internal controls.
- Review procurement for appropriateness and economy.
- Ensure proper maintenance of ledgers and internal audit records.
- Review underwriting, claims, investment and reinsurance activities and records.
- Verify compliance of accounts and financial statements with Authority directives, Regulations and bye-laws.
- Recommend 3 auditors for appointment.
- Provide opinion/advice requested by the Board.
- Verify compliance with Authority directives.
- Audit Committee must submit its functional report to the Board of Directors.



Sections 86–89 — AUDIT OF INSURER

86. APPOINTMENT OF AUDITOR



Insurer shall appoint an auditor as per prevailing law.

CERTAIN PERSONS CANNOT BE APPOINTED, INCLUDING:

- ✗ – Basic shareholders, directors, and their close relatives
- ✗ – CEO and close relatives
- ✗ – Employees, intermediaries, and their joint-family members
- ✗ – Former employees until 3 years after separation
- ✗ – Partners of directors, CEO, or employees
- ✗ – Persons having financial interest in the insurer
- ✗ – Insured persons exceeding the prescribed insurance limit
- ✗ – A person who audited the same insurer for 3 consecutive fiscal years
- ✗ – Authority's directors/employees and their close relatives/partners
- ✗ – Persons otherwise disqualified under prevailing law.



87. AUDIT OF INSURER



Audit must be completed within 3 months after the end of the fiscal year.
Authority may extend the period by up to 2 months on reasonable grounds.

Audit report must disclose:

- Observations/irregularities;
- Whether management has responded.

Authority may prescribe a Long-Form Audit Report format.

Insurer must submit audited financial statements to the Authority for approval within 30 days of audit completion.

→ Authority may summon directors, CEO, employees, auditor, or ther concerned for dıcussion.

↓

Insurer cannot publish or place financial matters before the general meeting without first submitting the report to the Authority.

← Authority may summon directors, CEO, employees, auditor, or other concerned persons for discussion.

Audited financial statements must be:

- Published/broadcast through national-level media at least twice annually;
- Published on the insurer's website.

If no auditor is appointed even after the extension, the Authority may appoint one.

Audit remuneration and related expenses in such case are borne by the insurer.

Other audit-report and audit requirements shall be as prescribed.

88. AUTHORITY'S POWER REGARDING AUDIT



After receiving the auditor's report, the Authority may order the auditor to:

- Provide additional information; or
- Conduct additional inquiry/re-audit on specified matters.

All expenses of such additional audit shall be borne by the insurer.



89. RECOMMENDATION FOR ACTION AGAINST AUDITOR



If an auditor fails to perform duties under the Act, the Authority may recommend to the concerned regulatory body to:

- Remove the auditor from the list of eligible auditors; and
- Prevent the auditor from auditing insurers for 1 to 3 years.



Recognize and review the operation of insurance business, micro insurance and Re-Insurance Business. (Section 61 – 82)

LO	Syllabus content	Technical grid reference
LO 8e (1/3)	❖ Type of insurance business ❖ Insurance contract ❖ Insurance policy ❖ Insurance premium ❖ Insurance pool ❖ Insurance not to be done ❖ Restrictions on undertaking business in partnership or acquire assets in ownership ❖ Restrictions on use of assets ❖ Activities restricted to be carried on by insurance company ❖ Appointment of compliance officer ❖ Appropriation of savings ❖ Undertake insurance risk on the basis of net worth ❖ Investment in subsidiary company ❖ Obtain approval while selling assets	Section 61 to 74 of the Insurance Act, 2079

Sections 61–63 — Insurance Business, Contracts & Policies

Section 61 — Types of Insurance Business



There are 3 types of insurance business:



Life Insurance
Life insurers may conduct prescribed life insurance portfolios, subject to their licence.



Non-Life Insurance
Non-life insurers may conduct prescribed non-life insurance portfolios, subject to their licence.



Reinsurance
Business conducted by reinsurers shall be as determined by the Authority.



Section 62 — Insurance Contract



Insurance contract must be in writing.



The following form integral parts of the contract:



- Insurance proposal
- Policy
- Policy schedule
- Related confirmations



Good-faith disclosure:
Insurer and insured must clearly disclose relevant factual information concerning the proposed risk.



The proposer must have an insurable interest in the subject matter of insurance.

Other contractual requirements are as prescribed.

Section 63 — Insurance Policy



Insurer must issue a policy approved by the Authority.

Once issued, the policy terms constitute the insurance contract and are binding on both parties.

One-year disclosure rule:
After 1 year from policy issuance, the insurer generally cannot raise questions regarding matters not disclosed at the time of proposal.



Exception — bad faith:
If the insured deliberately concealed material risk information or provided false information, the insurer may:

- Require correction of the information, or
- Withhold facilities/benefits otherwise available under the policy.



Life insurance:
Policy title may be transferred to another person as prescribed.

Other policy matters are determined by the Authority.

Sections 64–66 — Premium, Insurance Pool & Restricted Insurance

Section 64 — Premium

Premium must be calculated according to the insurance rate determined by the Authority.

Full premium must generally be collected before issuing a policy.

➤ **Exception — Bank/Government Guarantee:**

- Policy may be issued where payment is guaranteed by a bank or Government of Nepal, with a specified payment period.
- Bank-guarantee-based policy cannot exceed 30 days.

30 Days

➤ **Special payment arrangements:**

- Life insurance may be issued on an instalment basis.
- Prescribed types of non-life insurance may be issued upon partial premium payment.

➤ Where an authorized premium-collecting person/organization fails to remit collected premium on time, the insurer must inform the insured.

Failure

Other matters relating to insurance rates and premiums are determined by the Authority.

Section 65 — Collective Insurance Fund

(Insurance Pool)

Authority may:

- Require an insurer to establish a Collective Insurance Fund (Insurance Pool), or
- Establish such a fund itself.

➤ **Purpose:** Share/bear liabilities arising from particular groups of risks.



Section 66 — Insurance Not to Be Effected

An insurer generally cannot insure property or liability of:

- The insurer itself.
- Its basic shareholder, director, consultant, auditor, employee, or their joint-family member.
- A basic shareholder or joint-family member.
- A firm/company/organization having the power to appoint or nominate the insurer's director.
- A firm/company/organization in which an insurer's director has a financial interest, or acts as managing agent, partner or director.
- Similar entities connected with a basic shareholder or joint-family member.

Exceptions

Life insurers may insure the specified persons within actuarial conditions and limits fixed by the Authority.

Restrictions do not apply to property or liability owned by the Government of Nepal.

SECTIONS 67–69 — RELATED-PARTY RESTRICTIONS & PROHIBITED ACTS

SECTION 67 — NO PARTNERSHIP OR PROPERTY COMBINATION



An insurer cannot conduct business in partnership with or combine its property with:

- Its director or director's joint-family member
- A basic shareholder
- A person having financial interest
- Firms/companies/organizations in which the insurer or its director is a managing agent or partner
- The CEO

Existing arrangements: Any such partnership or combined property existing before the Act must be separated within 6 months of commencement of the Act.

SECTION 68 — RESTRICTION ON USE OF PROPERTY



Insurer's property cannot be used by a director, joint-family member, basic shareholder, financially interested person, related firm/company/organization, or CEO, except benefits legally received in their official capacity.

Insurer cannot rent or otherwise use property belonging to:

- Director or director's joint-family member
- Basic shareholder
- Related firm/company/organization
- CEO

SECTION 69 — ACTS PROHIBITED FOR INSURERS



An insurer must not:

- Buy/sell movable or immovable property above the Authority-prescribed limit.
- Provide prohibited loans, guarantees or security involving basic shareholders and related persons/entities.
  - Grant loans, except:
    - Loans to insured persons secured by a life insurance policy, or
    - Employee loans/advances permitted by employee bye-laws.
- Issue a policy in a format or form not approved by the Authority.
- Calculate premiums contrary to the Authority-approved insurance rate.
- Invest in shares/securities of another insurer or insurance broker conducting the same type of insurance business.
  - Exception: With prior Authority approval, an insurer may purchase securities of an insurer conducting a different type of insurance business.
- Invest in an entity where a Board member is a director or has personal, financial or business interest.
- Create a monopoly or otherwise control the insurance business.
- Restrict or obstruct fair competition or engage in restrictive practices.
- Commit any act contrary to the Act, Rules, Regulations or Authority directives.



MONEY LAUNDERING / ILLEGAL FUNDS

Where an insurer knows or suspects that an insured person:

- Has obtained money illegally, or
- Has committed a money-laundering offence,

the insurer must not conceal the fact, alter/conceal information, make prohibited payments, falsify the source of funds, or assist the person in avoiding legal action.

REPORTING DUTY:
If the insurer knows, receives information, or has reasonable grounds to suspect such conduct, it must immediatsly report it to the Financial Information Unit (FIU) established under prevailing law.

Sections 70–74 — ACTUARIAL VALUATION, SAVINGS, RISK & INVESTMENT



SECTION 70 — ACTUARIAL VALUATION



Every insurer must have its financial position, assets, liabilities and financial condition valued by an actuary approved by the Authority.

Insurer must submit the actuarial valuation report to the Authority.

Other valuation requirements are as prescribed.



SECTION 71 — ALLOCATION OF SAVINGS

For profit-participating life insurance policies:



Insurer must determine and provide for savings from life insurance business based on the actuary's valuation report.

With Authority approval, at least 90% of savings must be transferred to the Life Insurance Fund.

Other provisions on allocation and provisioning are as prescribed.



SECTION 72 — RISK BASED ON NET WORTH



Insurer must accept insurance risk based on its net worth.

Detailed requirements are as prescribed.



SECTION 73 — INVESTMENT IN SUBSIDIARY COMPANY



Insurer may establish or invest in a subsidiary company only with prior Authority approval.

Authority may impose conditions, which the insurer must comply with.



Restriction: An insurer cannot establish or invest in a subsidiary conducting the same type of insurance business.

Other investment requirements are determined by the Authority.



SECTION 74 — APPROVAL FOR DISPOSAL OF PROPERTY BY FOREIGN INSURER

A foreign insurance company must obtain Authority approval, in addition to any approval required under prevailing law, when it:





Disposes of or mortgages immovable property in Nepal;



Disposes of movable property above the prescribed limit; or



Repatriates property/assets abroad.

Authority may impose conditions or standards while granting approval.





Recognize and review the operation of insurance business, micro insurance and Re-Insurance Business. (Section 61 – 82)

LO	Syllabus content	Technical grid reference
LO 8e (2/3)	❖ Micro insurance ❖ Incorporation of insurance company for micro business only ❖ Contract with insurance agents ❖ Claim of micro insurance ❖ Micro insurance regulation fees	Section 75 to 79 of the Insurance Act, 2079

Chapter 8 — Micro-Insurance Business
Sections 75–79

SECTION 75 — MICRO-INSURANCE TO BE CONDUCTED



- Every insurer must conduct micro-insurance business.
- Target groups:
  - Low-income population
  - Disadvantaged areas

SECTION 76 — DEDICATED MICRO-INSURANCE COMPANY



- A separate insurance company may be established solely for:
  - Micro-life insurance, or
  - Micro-non-life insurance.
- Capital requirement: As prescribed.
- Establishment and licensing are governed by the Insurance Act.

SECTION 77 — AGREEMENT WITH MICRO-INSURANCE AGENTS



- Insurer must enter into a written agreement before appointing an insurance agent for micro-insurance.
- Where the agent is an organized institution, prescribed authority may be delegated to it through the agreement.

SECTION 78 — MICRO-INSURANCE CLAIMS



SECTION 78 — MICRO-INSURANCE CLAIMS

For life **Property** **Liability**

- Properly submitted claims relating to insured life, property or liability must be settled within 21 days.
- Other claim procedures are as prescribed.

SECTION 79 — MICRO-INSURANCE REGULATORY FEE



- Every insurer must pay the Authority a regulatory fee for micro-insurance regulatory services.
- Fee: 0.5% of annual total premium earned.

Recognize and review the operation of insurance business, micro insurance and Re-Insurance Business. (Section 61 – 82)

LO	Syllabus content	Technical grid reference
LO 8e (3/3)	❖ Re-insurance ❖ Re-insurance business ❖ Provisions related to re-insurance contracts	Section 80 to 82 of the Insurance Act, 2079

CHAPTER 9 — REINSURANCE BUSINESS

Sections 80–82

80 SECTION 80 — REINSURANCE TO BE EFFECTED



- Every insurer must effect reinsurance for the portion of risk/liability that remains after the insurer retains its own share of risk.
- **Purpose:** Manage and protect against excessive insurance risk.

81 SECTION 81 — REINSURANCE BUSINESS



- A reinsurer may:
  - Accept reinsurance of both life and non-life insurance business.
  - Accept reinsurance from, or cede reinsurance to, foreign insurers or reinsurers.
- A domestic insurer must compulsorily reinsure with a reinsurer established in Nepal at not less than the percentage prescribed by the Authority.
- Reinsurance business may be conducted:
  - Directly by the reinsurer, or
  - Through an insurance broker.
- Other requirements are as prescribed.

82 SECTION 82 — REINSURANCE CONTRACT



- Reinsurance contract format must receive prior approval from the Authority.
- Authority may order review of a reinsurance contract at any time where:
  - It does not adequately protect the insured's interests, or
  - The contract does not appear to provide adequate coverage for the risk/liability.
- Other requirements relating to reinsurance contracts are as prescribed.

State the provisions related to insurance mediators and other insurance service providers. (Section 90 – 97)

LO	Syllabus content	Technical grid reference
LO 8f	❖ Prohibition to function without license ❖ License of insurance mediators ❖ Qualifications of insurance mediators or other insurance service providers ❖ Liability of insurance mediators ❖ Provisions related to renewal of license ❖ Cancellation of license ❖ Non-renewal of license ❖ Prohibited to engage in work	Section 90 to 97 of the Insurance Act, 2079

SUMMARY: SECTIONS 90–92 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

90. WORK NOT PERMITTED WITHOUT LICENCE



NO LICENCE? STOP!

No person may work, or cause another person to work, as an insurance intermediary or other insurance service provider without obtaining a licence under the Act.



91. LICENCE OF INSURANCE INTERMEDIARY



- **Any person/organization wishing to work** as an insurance intermediary or service provider must:
  - Apply to the Authority;
  - Submit prescribed documents; and
  - Pay the prescribed fee.
- Authority grants the licence in the prescribed format after examination.
- Licence validity: 3 years.

Insurance Surveyor:

- Licence generally permits surveying of **only one class** (portfolio) of non-life insurance.
- This restriction does **not apply** to a company established specifically for insurance surveying.
- Existing surveyors must choose **one specialized class** within **1 year** of commencement of the Act.

Single class

Licence:

- Cannot be used by another person;
- Cannot be transferred or assigned.

- An insurance agent can receive only one licence for the same type of insurer.
- Other licensing matters shall be as prescribed.

92. QUALIFICATION OF INSURANCE INTERMEDIARY/SERVICE PROVIDER



- Qualifications for insurance intermediaries and other service providers shall be as prescribed.
- An **insurance intermediary** must pass the prescribed **examination** before obtaining a licence.

Insurance Broker or Third-Party Facilitator:

- Must be an organized institution registered under prevailing law and must:
  - Have authorized capital as prescribed by the Authority;
  - Have a manager with at least 4 years' insurance experience; and
  - Fulfil other conditions specified by the Authority.

- Other qualification and related requirements shall be as prescribed.



SUMMARY: SECTIONS 93–94 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

93. DUTIES/LIABILITIES OF INSURANCE INTERMEDIARY

- Licence must be **clearly displayed at the office.**
- Agents/surveyors without an office must show their licence when requested.
- Must comply with the code of conduct issued by the Authority.

INSURANCE SURVEYOR



- Cannot survey loss/damage where the surveyor or close/joint-family member has a financial interest.
- Must submit the survey report to the insurer within the prescribed period.
- Can engage only **licensed** insurance surveyors for survey work.

INSURANCE AGENT



- Cannot simultaneously act as an agent for another insurer of the same type.
- May act for **both life and non-life insurers.**
- A micro-insurance agent may work for **more than one insurer.**

INSURANCE BROKER/ THIRD-PARTY FACILITATOR



- **Cannot invest in, lend to, or provide guarantees/security** to an institution where its **director** has a **directorship or financial interest.**
  - Non-**connected companies.**

Work, remuneration/commission, conduct and other requirements shall be as **prescribed.**

94. RENEWAL OF LICENCE

APPLICATION FOR RENEWAL → AUTHORITY REVIEW → OUTCOME

Application for renewal must be **submitted before expiry,** along with prescribed fee and details.

If unable to apply on time for a valid reason, reason, the Authority may grant an **extension of up to 3 months.**

+3 MONTHS

- Licence is renewed for **3 years.** (3 YEARS)
- If the renewal application is received **within the original** or extended period and requirements are satisfied:

- If renewal is refused, the **Authority must provide written notice** with **reasons.**



Other renewal matters shall be as **prescribed.**

Summary: Sections 95–97 — INSURANCE INTERMEDIARIES & SERVICE PROVIDERS

SECTION 95 — CANCELLATION OF LICENCE

- Licence is automatically cancelled if renewal is not applied for within the period prescribed under Section 94.
- Licence may also be cancelled upon the intermediary/service provider's written request, following inquiry by the Authority.
- Authority may cancel the licence where:
  - The intermediary/service provider violates the Act, Rules, Regulations, guidelines, or Authority directives; or
  - It is proved to have acted against the interests of the insured.
- Before cancellation for misconduct/non-compliance, the Authority must provide a reasonable opportunity to submit a clarification.

SECTION 96 — NON-RENEWAL OF LICENCE

- Licence shall not be renewed where:
  - The intermediary/service provider is found disqualified due to failure to comply with the duties under Section 93; or
  - It is proved that serious harm has been caused to the insured.

SECTION 97 — PROHIBITION ON ACTING WITHOUT VALID LICENCE

- No person may act as an insurance agent or intermediary without a valid licence or with an expired/non-renewed licence.
- If an insurer appoints an intermediary who does not comply with this requirement, the insurer bears the responsibility.
- If an intermediary/service provider's licence is revoked during its validity period, liabilities arising from its insurance business activities are borne by the concerned insurer.
- An insurance agent/intermediary cannot simultaneously act as an insurer's:
  - Director
  - Chief Executive Officer
  - Employee
  - Advisor

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